NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH, COURT-II

COMPANY PETITION NO. (CAA)-106(ND)/2021

CONNECTED WITH

COMPANY APPLICATION NO. CA (CAA)-28(ND)/2021

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

Communications & Power Industries India Private Limited ... **Petitioner No.1 / Transferor Company No. 1**

AND

Prodelin India Private Limited ... **Petitioner No.2 / Transferor Company No. 2**

WITH

CPI Satcom & Antenna Technologies Asia Private Limited ... **Petitioner No.3 / Transferee Company**

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 04.07.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. L. N. GUPTA, HON'BLE MEMBER (T)

PRESENT:

For the Petitioner : Adv. Aakash Bajaj, Adv. Avirat Kumar
For the RD : Adv. Shankari Mishra
For the OL : Mr. Sanjay Kumar, Ms. Easha Kadian, Ms. Hemlata Rawat

ORDER

PER: SH. ASHOK KUMAR BHARDWAJ, MEMBER (J)

The captioned Petition has been preferred by the Transferor Company Nos. 1 & 2 and Transferee Company jointly, under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016. The prayer made in the petition reads thus: -

> *"a) to consider and direct the Petitioner Companies to issue notices to the (i) Regional Director, Ministry of Corporate Affairs, Northern Region, Delhi, (ii) Registrar of Companies, Delhi and Haryana, (iii) Official Liquidator, Delhi and (iv) Income Tax Department, and such other departments, as may be applicable, as per the provisions of Section 230(5) of the Companies Act 2013 and rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016;*
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> *b) to consider and sanction the proposed Scheme of Amalgamation among Communications & Power Industries India Private Limited, Prodelin India Private Limited and CPI Satcom & Antenna Technologies Asia Private Limited and their respective shareholders and creditors".*

2. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2.1 Communications & Power Industries India Private Limited (hereinafter referred to as "the Petitioner No. 1/Transferor Company No. 1") having CIN U74140DL2012FTC243909, a private company incorporated on 22.10.2012 under the Companies Act, 1956. The registered office of the Transferor

Company No. 1 is situated at No. 25, Community Centre, 2nd Floor, Basant Lok, Vasant Vihar, New Delhi – 110057. The Authorised Share Capital of the Transferor Company No.1 is Rs. 5,00,00,000/- and its Paid-Up Share Capital is Rs. 10,00,000/-.

2.2 Prodelin India Private Limited (hereinafter referred to as "the Petitioner No. 2/Transferor Company No. 2") having CIN U74899DL1997 PTC089813 is a company limited by shares, incorporated on 23.09.1997 under the provisions of the Companies Act, 1956. The registered office of the Transferor Company No. 2 is situated at B-254/425-A, New No. 425-B, Sant Nagar, New Delhi – 110065. The Authorised Share Capital of the Transferor Company No. 2 is Rs. 50,00,000/- and its Paid-Up Share Capital is Rs. 10,01,000/-.

2.3 CPI Satcom & Antenna Technologies Asia Private Limited (hereinafter referred to as the "Petitioner No. 3/Transferee Company") having CIN U32109DL2001PTC112884 is a Company incorporated on 18.10.2001 under the provisions of the Companies Act, 1956. The Transferee Company is having its registered office at 425-B, Sant Nagar, East of Kailash, New Delhi –110065. The Authorised Share Capital of the Transferee Company is Rs. 50,00,000/- and its Paid-Up Share Capital is Rs. 29,00,010/-.

3. The present Petition has been filed jointly by the Transferor and Transferee Companies. Hereinafter, **all the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies'**. The Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

4. As can be seen from the records, the First Motion petition was filed by the Petitioner Companies, seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors. In the First Motion Application bearing No. C.A.(CAA) 28/ND/2021, this Tribunal passed Order dated 30.07.2021, dispensing with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of the Petitioner Companies.

5. The Appointed date as per clause 1.1(a) of the Proposed Scheme of Amalgamation is 01.04.2021.

6. Present is the Second Motion petition moved by the Petitioner Companies in connection with the scheme of Amalgamation for issuance of notices to the Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs; Registrar of Companies, NCT of Delhi & Haryana; Income Tax Department; Official Liquidator, Delhi; and to other concerned Sectoral Regulatory Authorities. The Petitioner Companies have also prayed for direction for the publication of the Scheme. Required directions were issued in terms of the Order dated 08.10.2021 passed by this Tribunal, for carrying out necessary publication with regard to the Scheme in "Business Standard" (English) and (Hindi) Delhi Edition newspapers.

7. In compliance with the above-stated directions, the Petitioner Companies filed an Affidavit of Service confirming that the Notices qua the present Company Petition were published on 20.10.2021 in the "Business Standard" (English) and (Hindi) Delhi Edition newspapers.

8. In terms of the order dated 19.05.2022 this Tribunal directed the Petitioner Companies to serve notice to Income Tax Department again requiring it to appear and file its report. The Counsel for Petitioner Companies was also directed to file the ITRs of all the Petitioner Companies for the previous 03 years. The Petitioner Companies were also directed to file affidavit-cum-undertakings to the effect that the Transferee Company would be liable to meet the tax liabilities of all the Transferor Companies. In compliance of the aforementioned order, the Petitioner filed CA-240/2022 to place on record the mail regarding service of notice on Income Tax Department and also the affidavit/undertaking of the Transferee Company to meet the liabilities, as directed in terms of the order dated 19.05.2022 (ibid). The Petitioner Companies also filed their Income Tax Returns for F.Y. 2108-19, 2019-20, and 2020-21.

9. In terms of the provisions of Section 230(5) of the Companies Act 2013, the RoC has filed its report dated 05.07.2022 espousing therein: -

> *"31. Observation, if any: -*
>
> 1. *As per Audited Financial Statement of the transferor Company no.02 for the year ended 31.03.2021, it is seen that the company has made a provision for doubtful debt against trade receivable amounting to Rs. 1,044,523. The view of the Income Tax Department regarding compliance of section 36 of the Income Tax, 1961 may be sought.*
> 2. *As per Audited Financial Statement of the transferor Company no.02 for the year ended 31.03.2021, it is seen that the company has shown in its balance sheet Balances with government authorities amounting to Rs.*

5,46,28,794 the nature of this receivables is not clear. Hence, company may ask to clarify the same.

3. *As per Auditors report of the Transferee Company for the year ended 31.03.2021, auditor has state that the company has non-compliance under Foreign Exchange Management Act, in respect of the trade receivable amounting to Rs. 1,065,603 from Qatar Satelite-Eshailsat for a period exceeding prescribed limit. The company may be asked to clarify the same and also provide details of any pending proceedings in this matter.*
4. *As per Audited Financial Statement of the transferee company for the year ended 31.03.2021, it is seen that company has made a provision for doubtful debt against trade receivable amounting to Rs. 2,182,232. The views of the Income Tax Department regarding compliance of section 36 of the Income Tax Act, 1961 may be sought.*
5. *The Transferee company may kindly be directed to comply with the provisions of Section 232 (3) (i) of the Companies At, 2013 in regard to fee payable of its revised Authorised Share Capital."*

10. In the report dated 18.01.2023, the RD brought to forth thus: -

"a) It filed affidavit dated 21.10.2022 after examining the petition filed by Petitioner Company and has summarised it as follows:

i. Equity Share Capital of Transferor Companies and Transferee Company are held by Foreign Entities/Nationals and the present Arrangement recommends allotment of shares to the Foreign Shareholders of the Transferor Companies, thereby falling under the domain of Reserve Bank of India (RBI). The Petitioner Company has admitted

receiving foreign direct investment in its reply dated 12.09.2022 but has not furnished clearance/NOC from RBI.

ii. The observation of ROC in regards to the declaration of dividend by Transferor Company No. 2 is that the concerned company has clarified in its reply that it declared interim dividend by taking approval of the Board of Directors by utilising the surplus balance of company and since the company has not declared a final dividend, final approval of shareholders was not required to be obtained.

b) The Petitioner Companies has submitted its clarification/response vide reply dated 25.11.2022, addressing the observations of ROC & Deponent which reads thus:

i. The Petitioner Companies has denied that it did not furnish clearance/NOC from the RBI as the RBI has not objected to the instant Scheme in its letter dated 17.11.2021.

ii. The Petitioner Companies has denied that the payment of interim dividend in the instant case was not authorised and/or requires the approval of the shareholders and relied upon the judgment of Hon'ble Supreme Court in J Dalmia vs. Commissioner of Income Tax, New Delhi (AIR 1964 SC 186) and CIT vs. Express Newspaper Limited (1998 3 SCC 106)".

11. The OL has also filed its report dated 19.05.2022 as required under Section 230(5) of the Companies Act, 2013 read with Rule 16 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and has not

raised any objection regarding the approval of Scheme. The relevant excerpts of the OL's report read thus:

> *"19. That the Official Liquidator, Delhi has not received any complaint from any shareholders, creditors and other stakeholders of the respective companies with regard to the proposed Scheme of Amalgamation till the date of filing of this Report.*
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> *XXXX*
>
> *21. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act, 2013."*

12. As can be seen, from the order dated 24.03.2023, this Tribunal issued a fresh notice to the Jurisdictional Assessing Officer (ITO). The Income Tax Department did not file its report/reply despite multiple opportunities given to it on various occasions. Hence, the right of the ITO to put forth its stand qua the petition filed by the Petitioner Companies under Section 230-232 of the Companies Act 2013 stands forfeited.

13. In terms of the order dated 02.06.2023, this Tribunal directed the petitioner Companies to explain how it had followed the Companies (Declaration and Payment of Dividend) Rules, 2014. In compliance of the said order, the Petitioner Companies filed a Note dated 12.06.2023, which reads thus:

> *"1. The payment of interim dividend for INR 464 (Indian Rupees Four Hundred Sixty-Four) per share aggregating to INR 4,64,46,400 (Indian Rupees Four Crore Sixty-Four Lakhs*

Forty-Six Thousand Four Hundred) was made by Transferor Company No. 2 during the financial year 2019-20 to its shareholders.

2. *The interim dividend was paid by the Transferor Company No. 2 in compliance with Section 123 (3) and Section 124 of the Companies Act 2013 (**"Companies Act"**).*

3. *In terms of Section 123 (3) of the Companies Act, the payment of interim dividend was approved by the board of directors of Transferor Company No. 2 by way of resolution dated 26 September 2019 ("Dividend Resolution").*

4. *In terms of Section 123(4) of the Companies Act, the amount of interim dividend was transfered to a bank account opened with HDFC Bank Limited in the name of 'Prodelin India Private Limited Interim Dividend Account FY 2019-20' within 5 (five) days of passing the Dividend Resolution.*

5. *In terms of Section 123(5) of the Companies Act, the interim dividend was paid to the registered holders of the shares of Transfer Company No. 2 or to their beneficial owners in the order of the registered holders.*

6. *In terms of Section 124(1) of the Companies Act, payment of the interim dividend was made within 30 (thirty) days from the date of the Dividend Resolution.*

7. *The Companies (Declaration and payment of Dividend) Rules 2014 ("**Rules**") are not applicable to the present aspect. The Rules were published in terms of Section 123(1) of the Companies Act which only related to payment of final dividend. Accordingly, the same are not applicable to payment of interim dividend, which is done primarily under Section 123(3) of the Act. In any event, the Rules are applicable to declaration/payment of final dividend from free reserve. However, in the present case, interim dividend*

was declared/paid out of the surplus in the profit and loss account of the Transferor Company No. 2 and not from its reserves."

14. Confronted with the said note filed on behalf of the Petitioner Companies, Ms. Shankari Mishra, Ld. Counsel for RD categorically submitted that the RD has no objection to the approval of the Scheme of Amalgamation proposed by the Petitioner Companies.

15. In view of the foregoing facts and discussion, particularly the stand taken by the Ld. Counsel for the RD and upon considering the approval accorded by the Members and Creditors of all the Petitioner Companies to the proposed Scheme there does not appear to be vital impediment in granting sanction to the Scheme, subject to the conditions stipulated hereinbelow. **Accordingly, in the sequel to the above, sanction is hereby accorded to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

16. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

17. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of the Income Tax Act, 1961.

18. **The sanction of the Scheme would be subject to the following directions inter alia**: -

a) The Transferor & Transferee Companies are directed to ensure that the liability of tax regarding the doubtful debt against trade receivables amounting to Rs. 1,044,523/- qua the Transferor Company No. 2 is duly taken into account and the tax liability qua the said amount is duly discharged by the Transferee Company.

b) The Petitioners shall also give clarification regarding amount of Rs.5,46,28,794/- shown in Balance Sheet of the Transferor Company No. 2 for the year ended 31.03.2021 as 'Balances with the Government Authorities' to the Jurisdictional Assessing Officer, Income Tax and shall also inform the RoC regarding the said amount and would also discharge the tax liability towards the same in accordance with the extant provisions of law.

c) The sanction of the scheme would be subject to compliance of provisions of Foreign Exchange Management Act regarding trade receivables amounting to Rs. 1,065,603/- from the Qatar Satellite-Eshailsat for certain period exceeding prescribed limit by the Transferee Company.

d) The Transferee Company shall clarify its position to Jurisdictional Assessment Officer (ITO) regarding the doubtful debt (Trade Receivables) amounting to Rs.2,182,232/- reflected in Audited Financial Statement of the Transferee Company for the year ended on 31.03.2021.

e) The Transferee Company shall specifically comply with the provisions of 232(3)(i) of the Companies Act 2013, regarding fees payable qua the revised Authorized Share Capital.

f) The Transferee Company shall obtain the required clearance/NOC from the Reserve Bank of India (RBI).

19. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor Company and Transferee Company, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.04.2021, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy

receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/ deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor Company and the transferee company, in respect of the assets sought to be transferred under the proposed scheme.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. The Petitioner Companies shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to Transferee Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor

Company on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

21. The Company Petition is disposed of in the aforesaid terms.

Sd/-
(L. N. GUPTA)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)